and issued at that time, a copy of which is given in Appendix Note 68 as an additional example of "practical security analysis."

United States Savings Bonds Offer Similar Opportunity. For the investor of moderate means the disparity between United States government and corporate obligations has reappeared in recent years. The yield on United States Savings Bonds (available to any one individual to the extent of $10,000 principal amount each year) is 2.90% on the regular compound-interest basis of calculation and 3.33% on a simple-interest basis. This yield is definitely higher than that returned by best-rated public-utility and industrial issues.[3] In addition to their safety factor, which at present must clearly be set higher than that of any corporate issue, the United States Savings Bonds have the minor advantage of exemption from normal income tax and the major advantage of being redeemable *at the option of the holder* at any time, thus guaranteeing him against intermediate loss in market value.

[3] The average yields for such bonds for the first 3 months of 1940, carrying A1+ ratings of Standard Statistics Company, were only 2.62% and 2.44%, respectively.